Indian banks; and the limitations did not prevent it from growing and rendering important service to government and to commerce, while also yielding a respectable dividend to its proprietors. It is also interesting to note that these limitations were imposed in the interests and at the wish of the shareholders. The government ownership of shares was a guarantee to the commercial community that they would maintain a close supervision over the management of the bank, for without that guarantee the rest of the capital would not have been subscribed.[10]

Finally, when in 1876 the Secretary of State directed the Government of India to surrender their shares and cease to appoint Directors, his instructions were opposed by the proprietors themselves as strongly as by the government, and the proprietors asked to be allowed to elect government officers to their Board of Directors after the system of appointing official Directors had been discontinued. The government from the first shared the wish of the private proprietors to make the Presidency Banks great and flourishing institutions. If they imposed some conditions which now appear unduly restrictive, they did so because it was believed that these conditions were indispensable to safety and not through any jealousy or through or a desire to protect their own interests desire to specially protect their own interests without regard to the general welfare of the banks or of the public.[11]

THE BANK OF BOMBAY

The Bank of Bombay opened for business on April 15, 1840, after Act III of 1840 granting a charter to the Bank of Bombay had been passed in February of the same year. It is interesting to note that the biggest business houses of Bombay, such as Forbes & Co., Remington Crawford & Co., and Jamsetjee Jejeebhoy & Co. were not involved in the promotion of the new bank. In fact even before the meeting to form the provisional committee had taken place in December 1836, some of these houses had addressed a memorial to the government of Bombay against the establishment of the bank contending that ‘all that was needed was that the government should issue interest-bearing treasury notes in exchange for cash at times of stringency in the money market.’[12] They argued that no advantage would flow from the setting up of such a bank while numerous evils would arise